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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

The Fed Will Take the Opportunity

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Last Week's S&P 500 Index:
-0.9%

Key takeaways

- *We believe a rate hike at this month's FOMC monetary policy meeting is a very high probability.*
- *The equity market has likely fully priced in another rate hike at the September meeting.*

The next Federal Reserve (Fed) monetary policy meeting may be three weeks away, but in this strategist's opinion, a rate hike is about as close to a done deal as it can possibly get. Some market pundits may argue that a poor August employment report or further turmoil in the emerging markets may cause our central bankers to pause and wait until the dust settles, but we view that outcome as a low probability. With economic growth and inflation both accelerating relative to a handful of quarters ago, it is likely that the Federal Open Market Committee (FOMC) will want to move the federal funds target rate up toward a more "neutral" level. There may be debate about what exactly this neutral rate might be, but most economists would likely argue, as would we, that it is somewhere above the current 1.75% to 2% target range. The Fed is still in the thick of a long process that is moving rates away from the "Armageddon" levels seen in the wake of the financial crisis.

However, not all of our central bankers agree that the neutral rate, for now, needs to be any higher than the current target range. For example, James Bullard, president of the St. Louis Federal Reserve, has recently stated that he believes the current target rate is appropriate given where inflation stands (in line with the Fed's target of 2%) and the Fed's expectations that the U.S. economy will slow over the next couple of years. He has suggested that the longer-term growth rate of the domestic economy is approximately 2%. Bullard has expressed concern that the Fed risks hiking the target rate too much given forward expectations for growth. Of course, in the very near term, it appears that economic growth will be substantially stronger than the longer-term pace that James Bullard and some of his collegues believe will be the case. Note that second-quarter gross domestic product (GDP) came in at a robust 4.2% and some economists and Fed internal statistical models are also looking for third-quarter growth to come in north of 4%. Keep in mind that Bullard is not currently a voting member of the FOMC.

So what is the stock market expecting? In this strategist's opinion, the market has been expecting three rate hikes this year and possibly two or three next year. Since early in 2017, the market has been looking for the Fed to gradually move rates higher this year. And so far, the Fed has delivered exactly what the market has been expecting. Fed Chairman Jerome "Jay" Powell, in our opinion, has been making comments for months that back up the market's belief that our central bankers are not on the verge of increasing the pace and magnitude of future rate hikes. We have often stated over the past 20 months that more than three rate hikes in 2018 would likely be a headwind for equities. Chairman Powell knows the Fed needs to be careful from here if this long expansion is to continue; he has said as much on multiple occasions. That message has been good for the market. We believe the Fed can afford to move the fed funds target rate up a notch this month. Think of it as the financial markets offering the Fed an opportunity that we expect to will take advantage of.

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